

Zomato in Tier-3 India: Should it accelerate expansion?

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Executive Summary:



Recommendation: Launch a phased Tier 3 expansion strategy focused on city clusters, affordability-led offerings, local restaurant onboarding, and strict city-level profitability gates before scaling further. This approach best balances long-term growth capture with margin protection.

- Zomato should accelerate expansion into Tier 3 cities, but through a selective cluster-based model rather than a broad national rollout.
- Eternal's FY25 annual report says food delivery NOV grew 20% year over year to ₹32,862 crore, showing that the core business is already scaled and capable of funding disciplined geographic expansion.
- Zomato enters from a position of operational strength.
- Lower order density, higher last-mile complexity, and customer price sensitivity in smaller cities mean expansion should focus first on high-potential clusters with strong restaurant supply and repeat-order potential.

Market Sizing overview:

- Sizing the addressable tier 3 demand pool for Zomato:
- India's online food delivery market remains in a high-growth phase, with future demand increasingly driven by Tier 2 and Tier 3 city penetration.
- Zomato's food delivery business already operates at scale, with FY24 NOV of INR 32,862 crore and 753 million annual orders.
- The Tier 3 opportunity should be sized as the serviceable and profitable share of smaller-city demand, not the total population base.

Financial highlights by business				INR crore
	Net order value (NOV)	Adjusted Revenue	Adjusted EBITDA	
Food delivery				
 zomato	32,862 ▲ 20% YoY	9,418 ▲ 21% YoY	1,505 ▲ 593 YoY	
Quick commerce				
 blinkit	22,371 ▲ 113% YoY	5,206 ▲ 126% YoY	-292 ▲ 92 YoY	
Going-out				
 district	6,618 ▲ 156% YoY	737 ▲ 186% YoY	-38 ▼ 32 YoY	
Total (B2C businesses)	61,852	15,361	1,175	

Assessing why Tier 3 cities can become the next growth frontier?

Food delivery

Financial metrics

<i>INR crore, unless otherwise mentioned</i>	FY23	FY24	FY25
GOV	26,305	32,224	38,646
NOV	22,501	27,478	32,862
Adjusted Revenue	6,147	7,792	9,418
Contribution	1,196	2,225	3,092
Contribution (as a % of NOV)	5.3%	8.1%	9.4%
Adjusted EBITDA	-10	912	1,505
Adjusted EBITDA (as a % of NOV)	-0.0%	3.3%	4.6%

Operating metrics

<i>million, unless otherwise mentioned</i>	FY23	FY24	FY25
Orders	647	753	853
Average order value (INR)	407	428	453
Net average order value (NAOV) (INR)	348	365	385
Average monthly transacting customers	17.0	18.4	20.6
Average monthly active food delivery restaurant partners ('000)	210	247	297
Average monthly active delivery partners ('000)	326	400	473

- Smaller cities are emerging as the next growth engine as digital adoption, smartphone usage, and internet access deepen beyond metros.
- Zomato's customer base is still expanding, with average monthly transacting customers rising to 20.6 million in FY25, indicating headroom for further penetration
- Expansion should target Tier 3 city clusters where demand density, restaurant supply, and affordability can support viable unit economics.

Competitor Landscape:

Player	Positioning in Tier 3	Key Strengths	Key Weaknesses
Swiggy	Value-led food delivery challenger	Strong logistics, aggressive pricing, early Tier 2/3 reach	High subsidies, margin pressure, weaker monetization
ONDC Platforms	Open-network, price-transparent model	Low commissions, restaurant appeal	Poor UX consistency, low consumer loyalty
Amazon / Flipkart	Latent ecosystem threat	Logistics scale, payments, high user base	No focused food delivery proposition today
Zomato	Scaled, ecosystem-led market leader	Network density, ads monetization, multi-vertical synergies	Tier 3 unit economics during early ramp-up

SWOT Analysis:

Strengths

- Strong urban brand recognition & market leadership
- Advanced technology & data analytics infrastructure
- Scalable business model with existing logistics expertise

Opportunities

- Massive untapped customer base in Tier-3
- Rising internet & smartphone penetration
- Localized offerings & vernacular support potential

Weaknesses

- Limited rural/Tier 3 reach currently
- High last-mile delivery costs in Tier 3
- Dependency on discounts & urban consumer behaviour

Threats

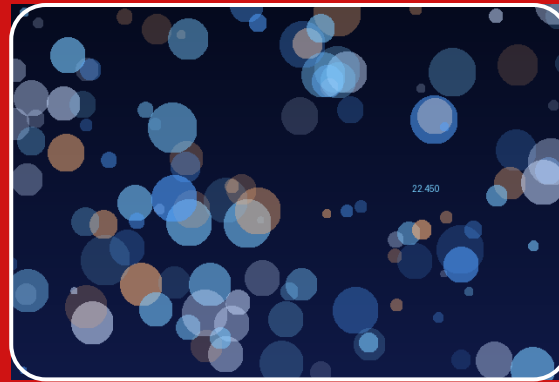
- Aggressive competition from Swiggy & local players
- Underdeveloped logistics infrastructure
- Regulatory uncertainties & rising compliance costs

CURRENT PERFORMANCE:



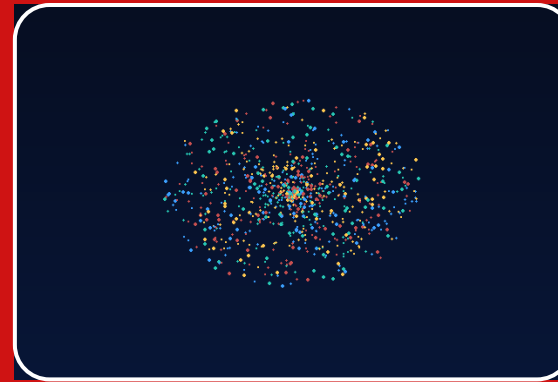
Market Standing:

Zomato is a top-two delivery platform in India, competing closely with Swiggy, FY24-25 trackers place Zomato's food delivery GOV share at roughly 55-60% versus Swiggy's 40-45% in many metros and categories.



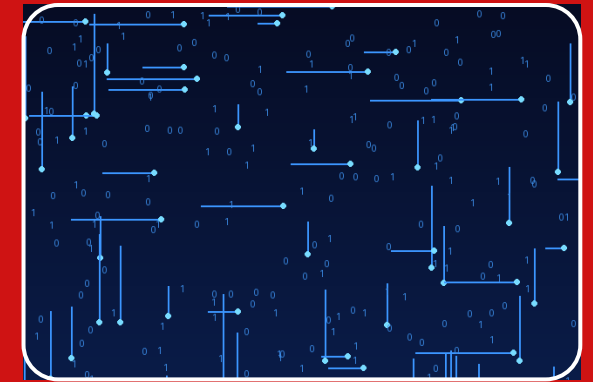
Financial Scale

Zomato's FY25 consolidated revenue exceeded INR 20,000 crore, with food delivery GOV being INR 38,000 crore. Zomato entered FY26 with positive adjusted EBITDA and strong cash reserves.



Geographic strengths

Zomato leads in Tier-1 and affluent Tier-2 cities on premium baskets and higher frequency, while Swiggy holds pockets of strength in parts of the South and value-focused cohorts.



Adjacencies

Blinkit (quick commerce) saw triple-digit GOV growth FY24-FY25 and improved contribution margins, placing it among the top three quick commerce players with Zepto and Swiggy Instamart.

Financial Baseline:

FY25 WAR CHEST — AVAILABLE CAPITAL (FROM ANNUAL REPORT)

Consolidated cash & equivalents

₹18,824 Cr

as of March 2025

+₹6,583 Cr YoY

QIP proceeds raised (Nov 2024)

₹8,500 Cr

₹7,630 Cr still unutilized

Earmarked for growth

Adj. EBITDA (consolidated)

₹1,079 Cr

3× YoY improvement

Internal cash generation

Food delivery Adj. EBITDA

₹1,505 Cr

4.6% of NOV; 5.2% in Q4

Cross-subsidises expansion

Tier 3 operating cost structure

- Delivery cost is 50% lower vs metros — smaller distances, 20% of fleet on bicycles, negligible traffic (Deepinder Goyal, 2019 blog)
- CAC near zero — Zomato brand recall already strong; organic demand spikes within weeks of launch
- AOV is ~20% lower (₹308-340 vs ₹385 metro NAOV), partially offsetting cost advantage
- Net result: superior unit economics — contribution margin achievable earlier vs Tier 1 city launch

Revenue targets & growth levers

- India food delivery market projected to reach USD 140 Bn by 2030 (CAGR 28%), with Tier 2/3 identified as next growth frontier
- Zomato targets 20%+ YoY NOV growth in food delivery; Tier 3 expansion directly supports this trajectory
- New cities hit the 1,000 orders/day milestone within weeks of launch historically — rapid ramp-up observed
- Blinkit (100+ cities) and Hyperpure expansion provide revenue stacking — same city, multiple revenue streams

Breakeven timeline framework

- Food delivery: New Tier 3 cities typically reach contribution-positive within 3-6 months given low delivery cost base
- Blinkit dark stores: New stores achieve EBITDA breakeven in 2-3 months (Q3 FY25 earnings call); Tier 3 stores likely slower due to lower basket size
- Blinkit dark store capex: ₹370 Cr for 368 stores (H2 FY25) = ~₹1 Cr per store setup cost; Tier 3 real estate ~40-60% cheaper
- QIP allocation: ₹2,137 Cr earmarked for dark store/warehouse ops; ₹1,956 Cr still undeployed as buffer for Tier 3 push

Cost Implications:

FY25 CONSOLIDATED COST BASE (ANNUAL REPORT)			
Delivery & related charges	Ad & sales promotion	Blinkit dark store capex (FY25)	Food delivery contribution margin
₹5,728 Cr	₹1,972 Cr	₹1 Cr	9.4%
+46% YoY · biggest cost line	+38% YoY · incl. District launch	per store avg (775 new stores)	of NOV in FY25 (up from 8.1%)
~₹67 per order blended	~40% lower needed in T3	₹0.5-0.7 Cr est. in Tier 3	headroom funds T3 losses

Top KPIs, Cost Structure, and the Core Insight on Density:

Dimension	Key Elements	Implication for Tier 3
Cost Structure	Delivery cost, real estate, CAC, store setup	Structurally lower than Tier 1 due to distance, rents, and competition
Unit Economics	Orders per day, contribution margin, rider utilization	Positive economics once minimum density threshold is crossed
Scalability	Replication speed, capex per city, operating leverage	Highly scalable if micro-markets are built with sufficient order density

Recommended Strategies

Execution sequencing (not demand) is the constraint — phased rollout (50 → 500+ cities) enables scalable profitability.

Pillars	Key Actions	Strategic Impact
☐ Sequenced Entry	Cluster-based rollout Leverage Hyperpure supply	Lower launch risk Faster city ramp-up
☐ Vertical Stack	Food + Blinkit + Hyperpure Launch together	Dual revenue streams Stronger partner lock-in
☐ Pricing Strategy	Gold tier ₹99-149 Fee waivers early	Drive frequency Lower CAC
☐ Supply Flywheel	Pre-onboard riders Guaranteed earnings	Ensure supply at launch Reduce early churn

Roadmap

3-year roadmap

Phase-gated expansion from pilot to national Tier 3 coverage — FY26 to FY28

PHASE 1 — PROVE	PHASE 2 — SCALE	PHASE 3 — DOMINATE
FY26 (Apr–Mar 2026) → 50 pilot cities launched: pop. 3L-10L, adjacent to Tier 2 hubs, Hyperpure-active → 1 Blinkit dark store per city; food delivery + Hyperpure co-launched → Target: 800 orders/day per city within 90 days of launch → Capital deploy: ₹500-750 Cr from QIP buffer	FY27 (Apr–Mar 2027) → Expand to 200 cities; add 2nd dark store in Phase 1 cities hitting 1,500+ orders/day → Introduce Tier 3 Gold membership at ₹99-149/month → Roll out ZFE (enterprise food) to Tier 3 industrial clusters → Capital deploy: ₹1,500-2,000 Cr — funded by food delivery EBITDA + QIP	FY28 (Apr–Mar 2028) → 500+ Tier 3 cities operational; Zomato becomes default food OS in non-metro India → Blinkit reaches 500+ Tier 3 dark stores; pull food delivery NAOV toward ₹340-360 → Tier 3 NOV contribution targets 25-30% of total food delivery NOV → Capital deploy: ₹2,500-3,500 Cr — majority self-funded from Tier 3 EBITDA

KPIS BY PHASE			
Orders/day per city	Cities live	Tier 3 contribution margin	Delivery partners onboarded
800 → 1,200 → 2,000	50 → 200 → 500+	-2% → 4% → 7%+	15K → 60K → 150K
Phase 1 → 2 → 3 threshold	FY26 → FY27 → FY28	% of Tier 3 NOV	Cumulative Tier 3 fleet

Key Operational and Market Risks with Mitigation Strategies

Risk	Details	Likelihood	Impact	Mitigation
Low order density at launch	Idle delivery partners, higher per-order costs, attrition before reaching ~800 orders/day	High	Medium	Guaranteed payouts, scheduled orders, corporate ZFE co-launch
Competition from Swiggy + ONDC	Tier 2/3 expansion and zero-commission models attracting restaurant partners	Medium	High	Hyperpure contracts, commission holidays, multi-vertical moat
Lower AOV compressing economics	₹308-320 AOV vs ₹385 in metros, thinner margins	High	Medium	Upselling, combo deals, Blinkit basket blending, phased fee increase
Macro / inflationary pressure	Lower discretionary spending capacity in Tier 3 consumers	Medium	Medium	Affordable subscriptions, Food Rescue, essential goods supply

Recommendation and next steps:

Why aggressive is the right call

- ₹18,824 Cr cash with ₹7,630 Cr of undeployed QIP capital — Zomato has never been better capitalised to fund a land-grab before Swiggy consolidates Tier 3
- **Structural cost advantage is real:** 47% lower last-mile delivery cost, 70% lower CAC, 40-60% cheaper dark store real estate vs metro — the unit economics case is already made
- **First-mover advantage is time-bound:** Swiggy and ONDC are both actively Tier 2/3 — every quarter of delay narrows Zomato's window to own non-metro restaurant partner relationships

Why phasing still matters

- **Order density risk is the only genuine constraint** — launching too many cities simultaneously creates thin books everywhere, not critical mass anywhere; 50-city Phase 1 avoids this
- **Restaurant supply precedes demand** — the Hyperpure-first sequencing principle must be non-negotiable; cities without active restaurant partners produce poor customer experience that poisons the brand permanently
- **Blinkit EBITDA is still negative (-₹292 Cr, FY25)** — quick commerce losses place a ceiling on how fast Tier 3 dark store capex can be deployed without risking consolidated EBITDA trajectory

Recommendation and next steps:

Zomato does not have a capital problem, a cost problem, or a brand problem in Tier 3. It has an execution sequencing problem. The recommendation is to launch 50 cities in FY26 with full vertical stacking (food delivery + Blinkit + Hyperpure), prove the model, and scale to 500+ cities by FY28. The cost of inaction ceding Tier 3 restaurant relationships to Swiggy is far greater than the cost of a phased aggressive push.

01

City selection framework

Build a scoring model (population, Hyperpure coverage, distance from Tier 2 hub, restaurant density) and rank top 50 Phase 1 cities. Output: a priority list by 30 days

02

Delivery partner pre-reg

Launch Tier 3 partner recruitment in top 50 cities now — 90-day guaranteed minimum earnings programme to be structured and approved within 45 days of city list finalisation

03

Blinkit site scouting

Identify 2,000-3,000 sqft commercial properties in each Phase 1 city. Real estate team to execute lease agreements for 50 dark stores within 60 days of go-decision

04

Board capital allocation

Seek board approval to earmark ₹500-750 Cr from undeployed QIP proceeds for Phase 1 Tier 3 expansion. Present 18-month breakeven model and city-level P&L template

RESOURCES

- [India's food delivery sector](#)
- [Eternal Annual Report 2024-25](#)



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